



STARTUP ANALYTICS STUDY

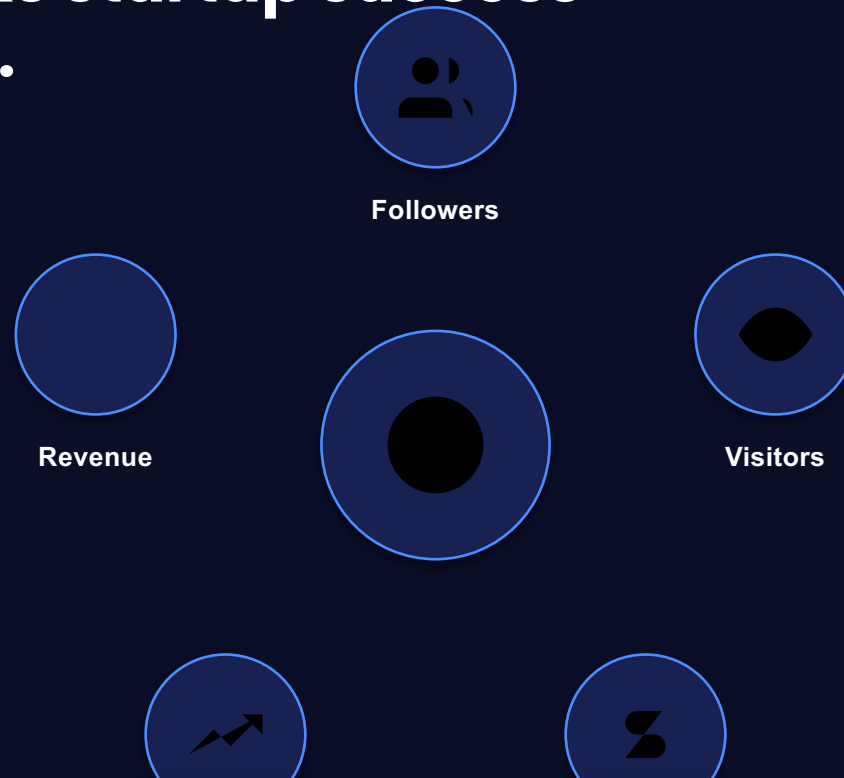
Startup Success: Myth vs Reality

What 1,000 Startups Taught Us About Building a Successful Business

Masters' Union · AI In Business

THE ASSUMPTION

Everyone thinks startup success looks like this...



Followers

Revenue

Visitors

We analyzed 1,000 startups to find out.

THE DATA

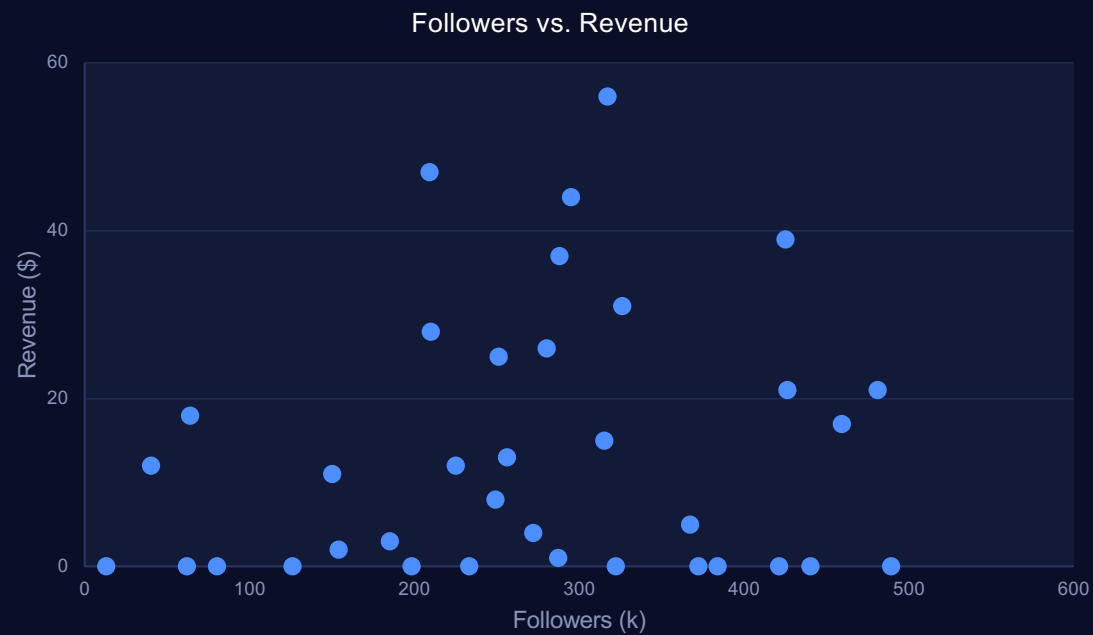
Meet the Dataset



MYTH #1

More Followers = More Revenue?

Short answer: not really.



BARELY RELATED

$r \approx 0.02$



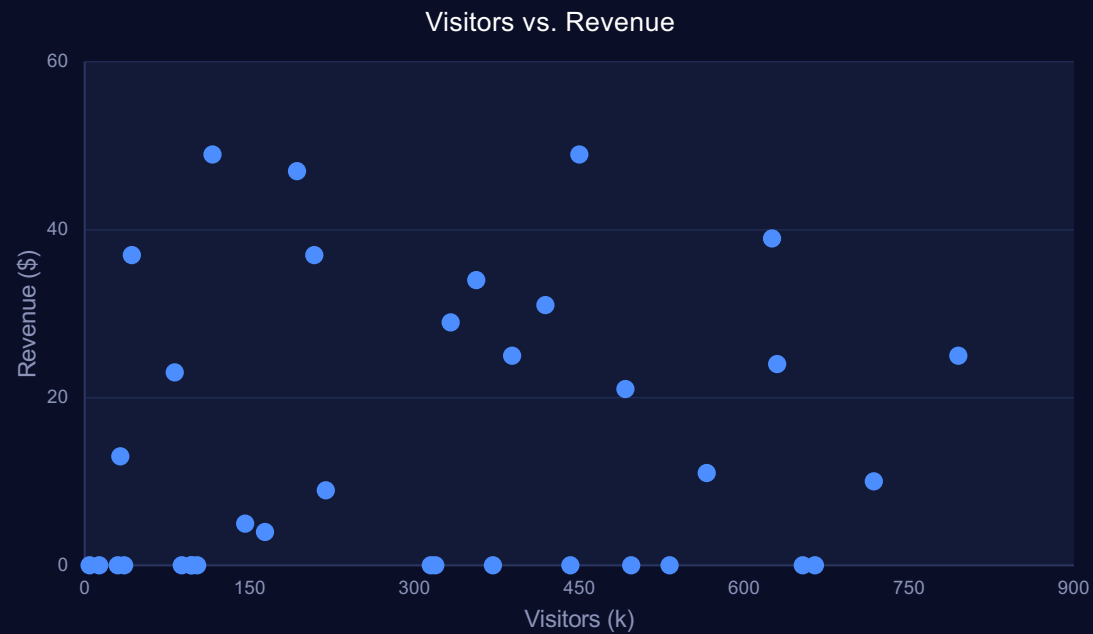
**Followers attract attention.
Not necessarily customers.**

A social following can grow fast without a single dollar of revenue behind it.

MYTH #2

More Visitors = More Revenue?

A little better. Still not the answer.



SLIGHTLY RELATED

$r \approx 0.16$

Visitors

Customers

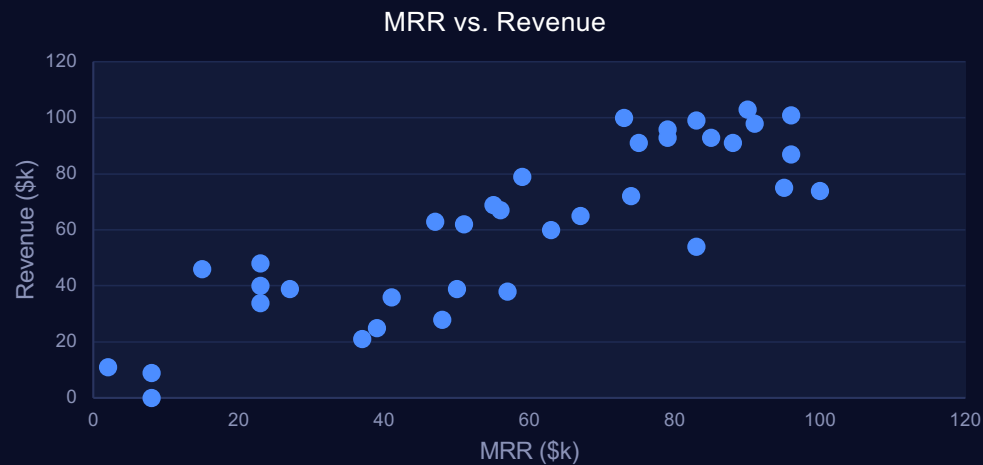
Revenue

Traffic matters. Conversion matters much more.

THE REALITY

Recurring Revenue Wins

Now we're talking.



STRONG LINK

$r \approx 0.87$ — recurring income tracks revenue almost one-for-one.



What is MRR?

Monthly income generated from customers who continue paying.

e.g. Netflix · Spotify · Microsoft 365

One-Time Purchase

Subscription

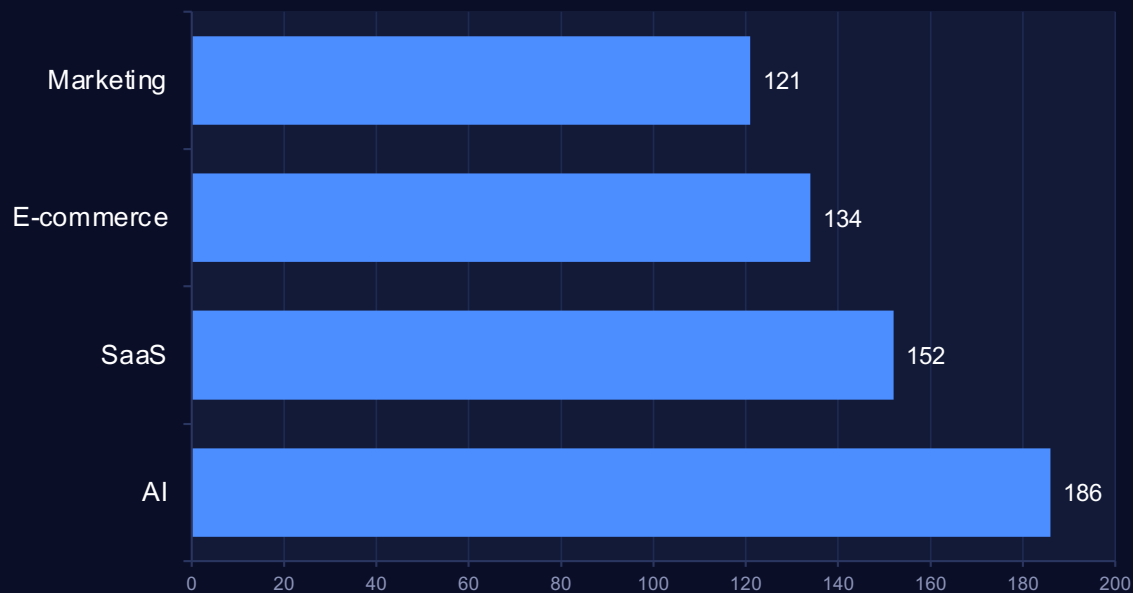
Predictable revenue compounds. One-off sales don't.

ONE MORE VARIABLE

Does Industry Matter?

Yes — but it's not the whole story.

Top Categories by Total Revenue



AI generated the highest total revenue in our dataset.



However...

Being in AI doesn't guarantee success — execution matters just as much as category.

A QUICK EXERCISE

Imagine You're the Investor

A

Startup A

- 500,000 followers
- Huge traffic
- Low recurring revenue

B

Startup B

- 8,000 followers
- High recurring revenue
- High customer retention

Which company would you invest in?

Our data consistently favours Startup B.

PUTTING IT TOGETHER

So... What Actually Makes a Startup Successful?

MYTHS

- Followers
- Traffic
- AI (category alone)
- Virality

REALITY

- **Recurring Revenue**
- **Retention**
- **Strong Business Model**
- **Customer Value**

***“Attention gets people through the door.
Value keeps them paying.”***



Popularity does not guarantee profitability.



Recurring revenue predicts sustainable growth.



Great businesses convert attention into loyal customers.

Thank You